

Service Business Pricing Cheat Sheet

How to price local service work so you actually get paid for your time — cleaning, lawn care, windows, pest, junk removal, any trade where you drive to the job.

The only pricing formula you need

Price = (Estimated hours × Target hourly rate), rounded UP to the nearest \$5 or \$10. Quoted flat.

Three rules inside that one line:

1. **Target hourly rate is revenue per labor hour, not a wage.** It has to cover your pay, taxes, insurance, supplies, the vehicle, and the hours nobody pays for — quoting, driving, invoicing. For most solo operators in 2026 US suburban markets, that number lands somewhere between \$50 and \$80. If your math says \$35, you don't have a business, you have a strenuous hobby. 2. **Estimate hours honestly, then time yourself.** Your first ten jobs are the tuition. Log actual time, fix your estimates, move on. 3. **Quote flat, never hourly.** Customers comparison-shop hourly rates and punish honesty. A flat price gets judged on one thing: is the job worth it to them. When you get faster, a flat rate means you earn more per hour — hourly pricing means you earn less for improving. Read that twice.

The minimum-job floor

Set the smallest number you will start a vehicle for. Every job carries fixed costs the customer never sees — the drive, the load-out, the setup, the invoice. A "quick \$60 job" 25 minutes away is a \$28-an-hour job wearing a disguise.

Pick your floor — for most solo service operators it's somewhere in the **\$120–\$150** range — and make it a rule, not a feeling. Anything below the floor gets quoted **at** the floor. Some callers say no. That's the floor working. The customers who balk at a fair minimum are the same ones who'll balk at everything else, forever.

The route-density rule of thumb

Clustered jobs pay more than well-priced jobs. Not on paper — in your actual bank account.

Two jobs at \$150 that are 10 minutes apart beat two jobs at \$170 that are 40 minutes apart, because you sell hours and drive time is an hour nobody buys. Rule of thumb: **every stop should be within about 10–15 minutes of another stop on the same day.** Build your schedule by zone — north

side Tuesday, south side Thursday — and give your best discounts to customers who fit your route, not customers who haggle hardest. A recurring-client discount isn't generosity; it's you paying for density, and density is the cheapest raise you will ever get.

Three pricing mistakes new operators make

1. Copying competitors' prices. You don't know their costs, their speed, or whether they're profitable — plenty aren't, and they're quoting their way out of business. Pricing off a struggling competitor imports their mistakes. Build your price from your hours and your target rate, then let the market answer.

2. Pricing to win every job. If nobody ever says "that's too much," you're the cheapest bid in town, and the cheapest bid attracts the worst customers — slow payers, scope-creepers, tip-of-the-iceberg jobs. A healthy close rate has some no's in it. Aim to win most, not all.

3. Never raising prices on old clients. Your first customers got your learning-curve rate. Three years later, half your roster can be paying 2022 prices for 2026 costs. A small annual increase — announced plainly, 30 days ahead — keeps you profitable and almost nobody leaves. The ones who do were your worst-ranked hours anyway.

Do the math once, then let a spreadsheet do it forever. The Route Ready starter kits come with the pricing calculator, route tracker, and job-costing sheets already built — you type the job in, they tell you the price.